

**Sixty-ninth Legislative Assembly of North Dakota
In Regular Session Commencing Tuesday, January 7, 2025**

SENATE BILL NO. 2032
(Legislative Management)
(Health Services Committee)

AN ACT to create and enact chapter 26.1-08.1 of the North Dakota Century Code, relating to the comprehensive health association of North Dakota; to repeal chapters 26.1-08 and 26.1-08.1 of the North Dakota Century Code, relating to the comprehensive health association of North Dakota; to provide an effective date; and to declare an emergency.

BE IT ENACTED BY THE LEGISLATIVE ASSEMBLY OF NORTH DAKOTA:

SECTION 1. Chapter 26.1-08.1 of the North Dakota Century Code is created and enacted as follows:

26.1-08.1-01. Definitions.

As used in this chapter:

1. "Association" means the comprehensive health association of North Dakota.
2. "Board" means the comprehensive health association of North Dakota board of directors.
3. "Creditable coverage" means, with respect to an individual, coverage under chapter 26.1-08.
4. "Guaranteed issue" means an issuer may not:
 - a. Deny or condition the issuance or effectiveness of a Medicare supplement policy that is offered and is available for issuance to new enrollees by the issuer;
 - b. Discriminate in the pricing of such a Medicare supplement policy because of health status, claims experience, receipt of health care, or medical condition; or
 - c. Impose an exclusion of benefits based on a preexisting condition under such a Medicare supplement policy.
5. "Lead carrier" means the insurance company selected by the board to administer the association benefit plans.

26.1-08.1-02. Cessation of operations.

1. The association shall cease enrollment under the plan effective May 1, 2025.
2. After taking all reasonable steps, including those specified in this section, to timely and efficiently assist in the transition of individuals receiving benefits under chapter 26.1-08, and paying health insurance claims for plan coverage and meeting all other obligations of the board under this section, the association shall cease operating the pool.
3. The association may take any action it deems necessary to:
 - a. Cease enrollment for plan coverage effective May 1, 2025.
 - b. Terminate all existing benefit plans effective December 31, 2025.
 - c. Provide at least a ninety-day notice to current policyholders of the termination.
4. This section does not require the board to revise plan benefits to comply with this chapter.

26.1-08.1-03. Board of directors.

1. Notwithstanding any other provision of this chapter, to facilitate an efficient cessation of operations, the board:
 - a. May continue to use the lead carrier to fulfill administrative tasks and operations.
 - b. Shall continue to follow the requirements of participating members under section 26.1-08-09.
 - c. May implement a process to assess members based on actual program costs rather than projected program costs.
2. If the board has excess funds after cessation of operations of the association, the funds must be returned by the lead carrier to the insurer assessed under section 26.1-08-09.

26.1-08.1-04. Enrollment of individuals losing creditable coverage.

An individual losing creditable coverage must be provided enrollment into a comparable:

1. Health benefit plan; or
2. Plan under a Medicare supplement policy that has a benefit package classified as plan A, B, C, F (including F with a high deductible), G, K, or L under guaranteed issue.

26.1-08.1-05. Statute of limitations.

A cause of action against the association or the board must be commenced within the earlier of one year after the cause of action occurs or December 31, 2027.

SECTION 2. REPEAL. Chapters 26.1-08 and 26.1-08.1 of the North Dakota Century Code are repealed.

SECTION 3. EFFECTIVE DATE. Section 2 of this Act becomes effective December 31, 2027.

SECTION 4. EMERGENCY. This Act is declared to be an emergency measure.

President of the Senate

Speaker of the House

Secretary of the Senate

Chief Clerk of the House

This certifies that the within bill originated in the Senate of the Sixty-ninth Legislative Assembly of North Dakota and is known on the records of that body as Senate Bill No. 2032 and that two-thirds of the members-elect of the Senate voted in favor of said law.

Vote: Yeas 44 Nays 0 Absent 3

President of the Senate

Secretary of the Senate

This certifies that two-thirds of the members-elect of the House of Representatives voted in favor of said law.

Vote: Yeas 91 Nays 0 Absent 3

Speaker of the House

Chief Clerk of the House

Received by the Governor at _____ M. on _____, 2025.

Approved at _____ M. on _____, 2025.

Governor

Filed in this office this _____ day of _____, 2025,
at _____ o'clock _____ M.

Secretary of State